by a supportive central bank to help the incumbent government win elections, and the resulting inflation surge will take place after elections are complete. In order to address this, there is a need for central bank independence in the narrow function of setting the short-term policy interest rate.

This is achieved by shifting the power of monetary policy away from one person (the RBI governor, who can be pressured by the ruling party) to a committee that is dominated by non-RBI employees. [4] For an analogy, if there is one judge, there is a greater risk of political pressure upon the judge, but if there is a bench of judges and power is dispersed, it is harder to bring pressure upon all of them.

In the class of public policy problems, monetary policy is a relatively easy problem. It involves a small number of transactions: about four to six meetings of the Monetary Policy Committee every year. It involves low stakes: these are not decisions which induce a very large impact upon any private person. It involves relatively low discretion: The actions of the MPC are anchored to forecasted CPI, and it is easy to look at the headline CPI and know how well the decisions of the MPC have worked out. Finally, it requires less secrecy. There are no state secrets of note, and the entire process can be swathed in transparency. To make a central bank work, we only require a small number of people who understand macroeconomics in the country, and we require that they are appointed upon the MPC.

Achieving state capacity for the regulator

In contrast with monetary policy, financial regulation is hard. There are a large number of transactions: roughly speaking, there are about 1000 supervisors at financial regulators interacting continuously with about 2000 significant financial firms. The stakes are very high: huge profit and loss flow from the decisions of financial regulators; the powers to license, raid, investigate and punish can destroy careers and firms. There is extreme discretion in how a certain situation is treated. There is a need for secrecy in